Chapter 2: SPL

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SPL Introduction

- Important to see schedules/notes
  - Don't forget materiality!
- "Reported" format vs "Functional" (Multi-step)
  - See DRL SPL video
- Topics
  - Revenue Recognition
  - Cost of Sales
  - Depreciation
  - Optional: EPS (2F) and Banks (2G)

Revenue Recognition (IndAS 115)

- "FOB Shipping point" and "FOB Destination"

1. Identify the contract with a customer
2. Identify performance obligations in the contract
3. Determine the transaction price
4. Allocate price to the POs in the contract
5. Recognise revenue when PO satisfied
    - At a point in time/over time

- Optional: Refer RNS7e pg 120-124

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